POLYLIQUID × LIMITLESS

Decentralized Oracle for Permissionless Markets

Delegate reputational risks

Polyliquid takes on the responsibility for resolution. Your reputation is protected by our oracle.

Unlimited number of markets

Including permissionless market creation. Our vouter pool scales to any volume.

Attack > 100% of market $0 for Limitless

The 0.2% fee is paid by the trader. LP slash on attack exceeds the market size. With DAO — ∞.

THE LIMITLESS PROBLEM

You're growing fast. But resolution is the bottleneck.

Current State

Resolution is centralized

Single point of failure. Reputational risk lies with the Limitless team.

Only the team creates markets

No permissionless — need to manually verify each market.

No dispute protection

If the result is disputed — who arbitrates? No formal process.

Needed

Decentralized resolution

Independent oracle. Reputational risk delegated. Limitless ≠ arbiter.

Permissionless markets

Anyone creates a market. The oracle guarantees fair resolution.

Formal arbitration

R1 → Dispute → DAO. Transparent, verifiable, on-chain process.

WHY NOT UMA

Polymarket already got burned. Twice.

March 2025: $7M stolen

A whale with 5M UMA tokens (25% of votes)
pushed a false resolution of the market
on the Trump/Ukraine deal.

Polymarket confirmed the error,
but refused to refund.
Result: $7M lost by traders.

July 2025: $242M dispute

Market: "will Zelensky wear a suit".
$242M volume. 40+ media outlets: "Yes".
UMA voted "No".

Top 10 UMA whales = 30% of votes.
Polymarket started looking for a replacement.
October: POLY token announcement.

Root cause: in UMA, vote power = token count. Influence is bought instantly.
Cost of attack:
$750 in transaction costs. UMA's response: whitelist of 37 addresses = centralization.

POLYLIQUID: HOW IT WORKS

3 layers of protection. Delegated reputation.

1 LP → Vouter

LP delegates capital
to vouters by track record.
Vouter stakes on markets. Manages liquidity of their LPs, distributing it across markets as efficiently as possible.
Vouter fee based on reputation: 5–80%.
Regulated by free market ratio of total LP capital to prediction market rewards

2 Commit-Reveal voting

Encrypted votes.
Weight = Stake × Reputation.
Consensus 50% + 1 voting power point
Reputation accrues over months.
Cannot be bought.

3 DAO arbitration

Anyone who disputes R1
with bond of 2% of **MaxPayout**.
DAO Limitless and DAO PL vote for 48 hours. Must be unanimous; in case of disagreement the market is annulled

Vote weight formula: `W = LP_stake × Reputation^k` κ = 1.0 (Sybil-neutral)

Reputation = Σ LP_stake × 0.995^(days since vote). Half-life: 138 days.

SLASHING AND DISPUTES

What a vouter loses on a wrong vote. How bonds work.

Vouter slashing

1. **Reputation slash**
   Losers lose up to 50% reputation (S_base).
   The further the vote from consensus — the greater the loss.

2. **LP slash (financial)**
   LP_slash = 20% / (1 + R / R_0)^2. Newcomers: up to 20%.
   Elite only 0.5%. Trust = protection.

3. **Slash distribution**
   No dispute: slashes → correct vouters (incentive).
   On dispute: 50% correct, 25% client, 25% DAO PL.

! **Cascade of consequences**
   Rep = 0 → LP leaves → income = $0 → recovery ~12 months.
   NPV loss for an elite vouter: hundreds of thousands of dollars.

Dispute and bond

Who can dispute?
Any participant who disagrees with R1.

Bond = 2% of market MaxPayout
$1M → bond $20K | $10M → $200K | $100M → $2M

What happens after bonding?
2 DAOs vote for 48h. Separate group from R1.

DAO confirms R1 (spam dispute):
Bond → 100% to client (Limitless).
Slashes → 75% to correct, 25% DAO PL.

DAO overturns R1 (attack):
Bond → returned to disputer.
Slashes → 50% to correct, 25% to client,
25% DAO PL. Attackers' rep = 0.

COST OF ATTACK

R1: always > 100% of market (excl. NPV). R1 + DAO: ∞.

UMA

$750

cost of attack

March 2025: $7M stolen
July 2025: $242M dispute

Polyliquid R1

110%

of market size

LP slash only, excl. NPV.
Attack is always unprofitable.

R1 + DAO

∞

DAO overturns attack

Any market size
is protected by second round.

Why attack > 100% of market (LP slash only, excl. NPV)

Step	Formula	Logic
Fee	**V × 0.2%**	Trader pays 0.2% of market volume (V) for resolution
LP locked	**V × 0.2% / (40% × 8/8760) = V × 5.48**	At 40% APY for 8h, LP needed = 5.48× market size
LP slash 20%	**V × 5.48 × 20% = V × 1.096**	**Slash = 110% of market. Attack unprofitable excl. NPV and bond.**
+ NPV (bonus)	+ 12 months income loss	Lost future vouter income. On top.
+ Bond (bonus)	+ V × 2%	Non-refundable deposit to trigger DAO. On top.

CASCADE OF DESTRUCTION

Why vouters won't attack. Economics are against them.

1

DAO overturns R1

Reputation = 0

2

LP Slash: 0.5% → 20%

Risk increased 40×

3

LP leaves

All capital withdrawn

4

No LP = no income

$768K/year → $0

5

Recovery

~12 months

RESOLUTION AND DISPUTE

Phase	< $10M
Commit	2 hours
Reveal	2 hours
Dispute window	4 hours
Total R1	**8 hours**
+ DAO (if dispute)	+ 48h = 56h

Limitless earns

100% of bond on spam

25% of slashes on attack

This is revenue that you don't have now.

Slash and bond distribution

Scenario	R1 Slashes	Bond	Limitless	DAO PL
No dispute	→ correct	—	$0	$0
DAO = R1 (spam)	→ 75% correct R1	→ to client	**100% of bond**	**25% of slashes**
DAO ≠ R1 (attack)	50% correct R1 25% client, 25% DAO	Returned	**25% of slashes**	**25% of slashes**

PERMISSIONLESS MARKETS

Polyliquid lets anyone create markets. The oracle scales.

Without Polyliquid

Every market — manual work
Team verifies description, resolution conditions, possible ambiguities.

Disputed result = crisis
No formal arbitration. Any dispute — reputational damage to Limitless.

Scaling is limited
Bottleneck: how many markets the team can service.

With Polyliquid

Anyone creates a market
Polyliquid vouters resolve any event. Permissionless creation = growth without limits.

DAO resolves disputes
Formal on-chain arbitration. Limitless — not the arbiter. Reputational risk delegated to Polyliquid.

∞ scaling
Vouter pool grows with the market. More volume → more rewards → more vouters.

ECONOMICS FOR LIMITLESS

The 0.2% fee is paid by the trader. Free for Limitless.

Cost for Limitless

$0

The 0.2% fee is paid by the trader, not Limitless. Integration is free.

Revenue for Limitless

On spam: **100% of bond**

On attack: **25% of slashes**

Plus:

- Permissionless → more markets → more volume
- Risk delegation → lower support costs
- Trader trust → retention

How the 0.2% fee ensures security

Market	Fee (0.2%)	LP locked (APY 40%)	LP slash (20%)	Attack / Market
$1M	$2K	$5.5M	**$1.1M**	**110%**
$10M	$20K	$55M	**$11M**	**110%**
$100M	$200K	$548M	**$110M**	**110%**

COMPARISON OF APPROACHES

Centralized vs UMA vs Polyliquid

	Current State (centralized)	UMA	Polyliquid
Cost of attack	n/a (trust the team)	**$750**	**>110% of market (R1)**
Decentralization	No	Formally (whales)	**100% anonymized decentralization**
Permissionless	No	Yes, but vulnerable	**Yes, protected**
Dispute arbitration	Team decides	Tokenholders	**DAO (separate)**
Resolution time	Fast	~48h	**8h**
Reputational risk	**On Limitless**	On UMA (unreliable)	**On Polyliquid**
Client revenue	$0	$0	**Bonds + slashes**

INTEGRATION PLAN

3 stages. From testnet to full autonomy.

I Testnet + pilot

Q2 2026

Oracle integration on Base testnet.
Pilot: 10–20 subjective markets.
Timing and UX debugging.
Polyliquid vouters resolve
in parallel with Limitless team.
Results comparison.

II Live subjective

Q3 2026

All subjective markets
resolved via Polyliquid.
Objective (crypto prices) —
stay on data feeds.
Limitless earns revenue
from bonds and slashes.

III Permissionless

Q3 2026

Opening permissionless
market creation.
Any user creates a
market. Polyliquid provides
resolution. Limitless
scales without limits.

POLYLIQUID × LIMITLESS

Delegate resolution. Scale markets.

Attack > 100% of market
$0 for Limitless

Permissionless markets
without reputational risk

100% of bond + 25% of slashes
→ Limitless revenue

polyliquid.ai

Money can be bought instantly. Trust cannot.